**European Commission -
Speech**

Speech by President von der Leyen at the European Parliament Plenary debate on the conclusions of the European Council meeting of 20 March 2025

Strasbourg, 1 April 2025

"Check against delivery"

Madam President, dear Roberta,

Mr President of the European Council, dear António,

Honourable Members,

Today, I would like to focus on the threats to global prosperity and stability and the rise of protectionism. And as our domestic agenda cannot be seen separately from global developments around us, let me start with the US tariffs.

When the dream of a united Europe began, it started with a simple idea: Let us create one Single Market. Let us break barriers and take tariffs down. This is what made us strong. Because our companies grew. And so did the ties that bind us together. And then in the same spirit, we worked with partners across the world – including America. We built connections that we believed were unbreakable. And trade brought more than prosperity. It brought the idea of a shared way of life. And with commerce, our partnership has also grown. Countless are the friendships across the Atlantic. And because of this collective experience, so many Europeans feel utterly disheartened by the announcements from the US. Let me be clear: Europe did not start this confrontation. We think it is wrong. But my message to you today is also that we have everything we need to protect our people and our prosperity. We have the largest Single Market in the world. We have the strength to negotiate. We have the power to push back. And the people of Europe should know: Together we will always promote and defend our interests and values. And we will always stand up for Europe.

So far, the US administration has announced a 25% increase of tariffs on imports of steel, aluminium, cars and car parts. The next sectors facing tariffs will be semiconductors, pharmaceuticals and timber. And tomorrow we expect another announcement – with so-called 'reciprocal' tariffs that will immediately apply to almost all goods and many countries in the world. Of course there are severe issues in the world of trade. Overcapacities, imbalances, unfair subsidies, denial of market access, intellectual property theft. I hear Americans, when they say some others have taken advantage of the rules. I agree. We also suffer from it. So let us work on it. But tariffs across the board make things worse, not better. Tariffs are taxes that will be paid by the people. Tariffs are taxes for the Americans on their groceries and their medication. Tariffs will just fuel inflation. Exactly the opposite of what we want to achieve. American factories will pay more for components that are produced in Europe. This will cost jobs. It will create a bureaucratic monster of new customs procedures. And today nobody needs that – neither in the US nor in Europe.

So our strategy builds on three pillars. First, we are open to negotiations. We will approach these negotiations from a position of strength. Europe holds a lot of cards. From trade to technology to the size of our market. But this strength is also built on our readiness to take firm countermeasures. All instruments are on the table. Second, we will keep diversifying our trade with other partners. Our hallmark is not only that we are the biggest market in the world but that we are reliable and predictable. We honour our commitments. And that is exactly what our partners are looking for today. And third, we will double down on our Single Market. The Single Market is the cornerstone of European integration and values. It is our powerful catalyst for growth, prosperity and solidarity. We have to tear down remaining barriers to have a Single Market to go big because scale matters. And a Single Market to go fast and go far.

To the first point: Our immediate response is unity and determination. I have already been in contact with our Heads of State and Government on the next steps. We have the parliamentary debate today. And we will assess tomorrow's announcements carefully to calibrate our response. Our objective is a negotiated solution. But of course, if need be, we will protect our interests, our people and our companies. I want to be very clear on the aim of our response. We think that this confrontation is in no one's interest. The flow of goods and services between us is nearly balanced. We are willing to work on the trade balance of goods as well as services. This is the largest and most prosperous trade relation worldwide. We would all be better off if we could find a constructive solution. At the same time, it also has to be clear: Europe has not started this confrontation. We do not necessarily want to retaliate, but we have a strong plan to retaliate if necessary.

The second element of our strategy is diversification. Trade goes to where the business case is. We will open doors towards fast-growing markets across the world. Europe already has trade agreements in place with 76 countries. And we are now growing this network. We just concluded trade deals with Mercosur, Mexico and Switzerland. We launched the first-ever Clean Trade and Investment Partnership with South Africa. We aim to conclude a trade agreement with India by the end of the year. We are in intense negotiations with Indonesia and Thailand. And later this week, President Costa and I will head to Samarkand, for the first-ever summit between the European Union and Central Asia. Europe has always been a trading continent. Let us connect with the new beating hearts of the global economy. Our message is clear: Europe is reliable, predictable and open for fair business.

And the third point, Honourable Members, is: unchain the Single Market. There are too many obstacles that tie down our businesses. And we have to do our homework. Mario Draghi is right when he says: 'High internal barriers are far more damaging for growth than any tariff.' The Single Market was born to tear down barriers between our countries. To erase customs and duties. And to make business easy inside Europe. We must go back to that idea and fulfil it. It must be easier for SMEs to sell the same product in all Member States, instead of re-labelling it 27 times to comply with national laws. It must be easier for professionals to work across borders, instead of getting stuck with different national bureaucracies. It must be easier for tech companies to launch a new service all across Europe, instead of dealing with 27 different procedures. And it must be easier for Europeans to invest in Europe, instead of sending their savings to the other side of the world. This is the promise of our Single Market. And it must be fulfilled.

Honourable Members,

The European Parliament has always worked hard to complete the Single Market. Now we have a generational opportunity to get it done. We have a strong consensus on the Draghi and Letta reports. We have put ambitious proposals on the table, from the Savings and Investment Union, to ensure that people get a better return on their savings and the companies find the capital they need to grow, to our omnibus simplification packages, or the Union of Skills. And more will come, including the 28th legal regime for innovative companies. According to the IMF, Europe's internal market barriers are equivalent to a tariff of 45% for manufacturing and 110% for services.

This simply cannot be. This must change now. That is why I have tasked EVP Séjourné to come up with concrete and bold proposals next month to remove some of these barriers and prevent new ones. These reforms are overdue. And now they have become more urgent than ever. In a stormy global economy, the Single Market is our safe harbour. Thirty years after Jacques Delors laid its first stone, it is time to finish the job.

Thank you, and long live Europe.

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